

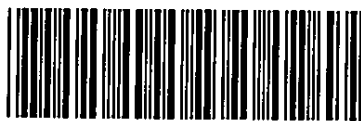
Company No. 8555831

Articles of Association of Alpha FMC Group Holdings Limited

Incorporated 4 June 2013

Adopted by special resolution passed on 15 April 2014

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THE COMPANIES ACT 2006

PRIVATE COMPANY LIMITED BY SHARES

ARTICLES OF ASSOCIATION

OF

ALPHA FMC GROUP HOLDINGS LIMITED

Adopted by special resolution passed on October 2013

1. **PRELIMINARY**

The model articles of association for private companies limited by shares contained in Schedule 1 to The Companies (Model Articles) Regulations 2008 in force on the date when these Articles become binding on the Company ("Model Articles") (a copy of which is annexed) apply to the Company except in so far as they are excluded or varied by these Articles.

2. **INTERPRETATION**

2.1 In these Articles the following expressions have the following meanings unless inconsistent with the context

"2006 Act"	the Companies Act 2006 (as amended from time to time)
"A1 Investors"	has the meaning given to it in the Investment Agreement
"A2 Investors"	has the meaning given to it in the Investment Agreement
"A2 Investor Covenants"	has the meaning given to it in the Investment Agreement
"A2 Lead Investor"	has the meaning given to it in the Investment Agreement
"A1 Ordinary Shares"	the A1 ordinary shares of £0.01 each of the Company having the rights set out in Article 13 in respect of Shares of that class

"A2 Ordinary Shares"	the A2 ordinary shares of £0.01 each of the Company having the rights set out in Article 13 in respect of Shares of that class
"A Ordinary Shares"	together the A1 Ordinary Shares and the A2 Ordinary Shares
"acting in concert"	the meaning set out in the City Code on Takeovers and Mergers for the time being
"Adoption Date"	the date of adoption of these Articles as set out on page 1
"Allocation Notice"	as the context requires, has the meaning given to that term in Article 20.10 or Article 22.13
"Articles"	these Articles of Association as amended, supplemented, varied or replaced from time to time
"Auditors"	the auditors to the Company for the time being
"B Ordinary Shares"	the B ordinary shares of £1.00 each of the Company having the rights set out at Article 13 in respect of Shares of that class
"Bad Leaver"	any Leaver who is not a Good Leaver or an Intermediate Leaver
"Baird"	Baird Capital Partners Europe Limited
"Bidco"	Alpha FMC Group Limited, a company incorporated in England and Wales (registered number 8506571) a wholly owned subsidiary of the Company
"Board"	the board of directors of the Company from time to time
"Business Day"	any day (other than a Saturday or Sunday) on which banks are open in London for normal banking business
"Buyer"	the meaning given to that term at Article 21.5
"C Ordinary Shares"	the C Ordinary Shares of £0.01 each of the Company having the rights set out at Article

	13 in respect of Shares of that class
"Called Shareholders"	has the meaning given to that term at Article 21.5
"Called Shares"	the meaning given to that term at Article 21.5
"Compulsory Sale Price"	the meaning given to that term at Article 22.5
"Controlling Interest"	an interest (as defined in sections 820 to 825 of the 2006 Act) in Shares conferring in aggregate more than 50 per cent. of the total voting rights normally exercisable at a general meeting of the Company
"connected person"	the meaning given to that expression in section 993 of the Income Taxes Act 2007 and "connected with" shall be construed accordingly
"Cash Equivalent"	(a) where the consideration comprises listed securities, the average of the middle market prices at which transactions took place over the 5 dealing days prior to the Exit Date; or (b) where the consideration comprises loan notes, loan stock or other debt instruments guaranteed unconditionally by an authorised UK bank, the face value thereof, or (c) where the consideration comprises unlisted securities or other instruments not guaranteed as aforesaid, such amount as the members shall agree to be the value thereof; or (d) where the consideration comprises future, fixed or contingent payments, such amount as the members shall agree to be the present value thereof; provided that if an Investor Majority and the holders of a majority of the B Ordinary Shares shall not be able to agree the value of the Cash

	Equivalent in accordance with the above provision then the dispute shall be referred to the Auditors who shall determine the dispute in accordance with Article 31
"Deferred Shares"	the deferred shares of £0.01 each of the Company having the rights set out in Article 13 in respect of Shares of that class
"Deemed Transfer Notice"	the meaning given to that term at Article 22.1.4
"Drag Along Notice"	the meaning given to that term at Article 21.5
"Drag Along Option"	the meaning given to that term at Article 21.5
"Employee Trust"	any trust established by the Company for the benefit of employees and/or any of the persons referred to in section 1166 of the 2006 Act and which has been approved by the Lead Investor
"electronic address"	any address or number used for the purposes of sending or receiving documents or information by electronic means
"Equity Shares"	the A1 Ordinary Shares, the A2 Ordinary Shares, the B Ordinary Shares and the C Ordinary Shares but excluding, on a Listing, any shares issued at the time of the Listing in order to raise money for the Company for whatever reason
"Excess Sale Shares"	as the context requires, has the meaning given to that term at Article 20.7.2 and Article 22.10.2
"Exit"	a Relevant Sale, Relevant Asset Sale, or a Listing
"Exit Capitalisation"	(a) in the event of a Relevant Sale, the aggregate amount paid (or the Cash Equivalent thereof) in respect of the Equity Shares less the costs of the Relevant Sale; or (b) in the event of a Listing, the

capitalisation of the Equity Shares at the price per share at which A Ordinary Shares (or the Shares into which A Ordinary Shares convert prior to the Listing) are sold (in any offer for sale, placing tender offer or otherwise) in the Listing, or if there is no such sale, the valuation of the Equity Shares at the Exit Date made by the Company's brokers less in each case the costs of the Listing; or

- (c) on a Relevant Assets Sale, the consideration paid (or the Cash Equivalent thereof) for the assets subject to the Relevant Asset Sale plus the consolidated net asset value of all other assets of the Company and its subsidiaries not subject to the Relevant Sale as agreed by the Lead Investor and holders of a majority of the B Ordinary Shares less any costs of the Relevant Assets Sale not borne by the Company or its subsidiary;

provided that if an Investor Majority and the holders of a majority of the B Ordinary Shares shall not be able to agree the value of the Exit Capitalisation in accordance with the above paragraph (c) then the dispute shall be referred to the Auditors who shall determine the dispute in accordance with **Article 34**

"Exit Date"

the date when the Exit completes or becomes effective

"Facility Agreement"

the facility agreement entered into between, amongst others, the Company, Bidco and Beechbrook Mezzanine II Jersey Limited dated October 2013 as the same may be amended, supplemented, varied or replaced from time to time

"Facility Documents"

the Facility Agreement, the Intercreditor Deed and all documents to be entered into pursuant

to the terms of those agreements as the same may be amended, supplemented, varied or replaced from time to time

"Fair Value"

for the purposes of these Articles means the amount agreed between the Board (with Investor Consent) and the Seller or, in the absence of agreement within 15 Business Days of the date of receipt by the Company of relevant Compulsory Transfer Notice as may be determined by the Auditors in accordance with **Article 23**

"Family Member"

in relation to a Shareholder who is an individual, any of his spouse or civil partner (or widow or widower or surviving civil partner), children and grandchildren (including step and adopted children and grandchildren)

"Family Trust"

in relation to a Shareholder who is an individual, a trust which does not permit any of the settled property or the income from it to be applied otherwise than for the benefit of that Shareholder or any of his Family Members or any charity and under which no power of control over the voting powers conferred by any Shares the subject of the trust is capable of being exercised by, or being subject to the consent of, any person other than the trustees or such Shareholder or any of his Family Members

"Financial Year"

shall in respect of the Company have the meaning defined by section 390 of the 2006 Act

"FSMA"

the Financial Services and Markets Act 2000 (as amended from time to time)

"Good Leaver"

- (a) a person who is a Leaver as a result of:
- (i) death; or
 - (ii) Serious Ill Health, or

(iii) where such termination is determined by a court or tribunal of competent jurisdiction to be a wrongful dismissal, or

(b) any Leaver whom the Remuneration Committee, with Investor Consent, determines is a Good Leaver

"Group"

the Company and each of its subsidiaries from time to time and references to "**member of the Group**" and "**Group Company**" is to be construed accordingly

"holder"

in respect of any Share, the person or persons for the time being registered by the Company as the holders of that Share but disregarding any Shares held by the Company in treasury and "**shareholder**" shall be interpreted accordingly

"Intermediate Leaver"

a person who is a Leaver at any time as a result of the service of notice by the employer (in the case of a services agreement) or the contractor (in the case of a contract for services) (in each case with Investor Consent) other than in circumstances where: (i) the employer (or contractor) had the right to summarily terminate such engagement, or (ii) that person is a Good Leaver

"Intercreditor Deed"

the deed in the agreed form to be entered into between, inter alia, the lenders under the Facility Agreement, the Investors and the Managers holding Loan Notes, the Company and Bidco regulating, inter alia, payments under the Facility Agreement and the Loan Notes as the same may be amended, supplemented, varied or replaced from time to time

"Investment Agreement"

the investment agreement dated October 2013 and made between, amongst others, the Company, Bidco, the Managers, the Investors

and Baird Capital Partners Europe Limited as the same may be amended, supplemented, varied or replaced from time to time

"Investment Date"

the date of the Investment Agreement

"Investor Associate"

in respect of an Investor, members of its Investor Group and any company or fund (including any unit trust or investment trust) or partnership (including a limited partnership) which is advised, or the assets of which are managed, (whether solely or jointly with others) from time to time by that Investor or any member of its Investor Group or (in the case of an A1 Investor) by Baird or (in the case of an A2 Investor) by Beechbrook Capital LLP or by any person who advises or manages the assets (or some material part thereof) of that Investor or any member of its Investor Group

"Investor Consent"

the consent in writing of the Lead Investor or an Investor Director

"Investor Director"

the director appointed pursuant to **Article 10**

"Investor Group"

in relation to each Investor.

- (a) the Investor (in the case of an A1 Investor) Baird or (in the case of an A2 Investor) Beechbrook Capital LLP or any subsidiary undertaking or holding company or parent undertaking of the Investor or subsidiary or subsidiary undertaking of a holding company or parent undertaking of the Investor (each a "**Relevant Person**"); or
- (b) any partnership (or the partners in any such partnership) of which any Relevant Person is general partner or manager, or
- (c) any unit trust or other fund of which any Relevant Person is trustee or manager; or

- (d) any nominee or trustee of any Relevant Person, or
- (e) any person or firm, authority or organisation (whether or not incorporated) which is the successor in title to, or in whom is vested, or by whom responsibility is assumed for the whole or a substantial part of the functions, assets and liabilities of a Relevant Person including any person who becomes a manager or adviser of an Investor in place of or in addition to such Investor; or
- (f) any co-investment scheme, being a scheme under which certain officers, employees or partners of a Relevant Person or its adviser or manager are entitled or required (as individuals or through a body corporate or any other vehicle) to acquire shares which the Relevant Person would otherwise acquire or has acquired

"Investors' Loan Instrument"	Note	the loan note instrument to be issued by Bidco in the agreed form constituting the Investors' Loan Notes as the same may be amended, supplemented, varied or replaced from time to time
"Investors' Loan Notes"		the £10,836,922 secured loan notes 2020 of Bidco to be constituted by the Investors' Loan Note Instrument
"Investor Majority"		the holders of more than 50 per cent. by nominal value of the A1 Ordinary Shares for the time being (whether through nominees or otherwise)
"Investor Sellers"		the meaning given to that term in Article 21.5
"Investor Sellers' Shares"		the meaning given to that term in Article 21.5
"Investors"		the "Investors" as defined in the Investment Agreement (including any additional or

	replacement "Investor" who is joined as an "Investor" in a deed of adherence executed in accordance with the Investment Agreement)
"Issue Price"	in respect of a Share, the aggregate of the amount paid up (or credited as paid up) in respect of the nominal value and any share premium
"Joint Election"	a joint election under section 431 of the Income Tax (Earnings and Pensions) Act 2003 in a form approved by the Investors, such approval being evidenced by the delivery of Investor Consent
"Lead Investor"	has the meaning given to it in the Investment Agreement
"Leaver"	a shareholder who: (a) is an individual; and (a) is or was previously a director or employee of, or a consultant to, a member of the Group; and (b) ceases to hold such office or employment or consultancy and as a consequence is no longer a director or employee or consultant of any member of the Group
"Listing"	the admission by the Financial Conduct Authority in its capacity as the UK Listing Authority of any Share to the Official List of London Stock Exchange plc or the admission by London Stock Exchange plc of any Share to trading on AIM, a market of the London Stock Exchange plc or the admission by any recognised investment exchange of any Share, and, in each case, such admission becoming effective
"Loan Note Instruments"	the loan note instruments in the agreed form constituting the Loan Notes as the same may be amended, supplemented, varied or replaced

	from time to time
"Loan Notes"	the Investors' Loan Notes and the Management Loan Notes
"Managers"	the "Managers" as defined in the Investment Agreement (including any additional or replacement "Manager" who is joined as a "Manager" in a deed of adherence executed in accordance with the Investment Agreement)
"Management Loan Note Instrument"	the loan note instrument to be issued by Bidco in the agreed form constituting the Management Loan Notes as the same may be amended, supplemented, varied or replaced from time to time
"Management Loan Notes"	the £11,276,242 secured loan notes 2020 of Bidco to be constituted by the Management Loan Note Instrument
"Management Shares"	the B Ordinary Shares and the C Ordinary Shares
"Member Applicant"	as the context requires, has the meaning given to that term in Article 20.10 or Article 22.13
"NK"	Nick Kent
"Offer Notice"	as the context requires, has the meaning given to that term at Article 20.5 or Article 22.8
"Proportionate Entitlement"	as the context requires, has the meaning given to that term in Article 20.6.2 or Article 22.9.2
"recognised investment exchange"	the meaning given to the expression in section 285(1) FSMA
"Related Company"	the meaning given in Article 19.1.1
"Relevant Asset Sale"	means a sale of the whole or substantially the whole of the trading assets or trading subsidiaries of the Group
"Relevant Conditions"	the meaning given to the expression in

Article 16.6

"Relevant Sale"

means a sale of the entire issued share capital of the Company

"Relevant Cash Inflows"

means all repayments, pre-payments redemptions or repurchases of the Investors' Loan Notes held by the Investors (and any other loan notes subscribed for by the Investors following the Adoption Date) and/or the A Ordinary Shares and all dividends or other distributions paid on the A Ordinary Shares and all interest paid on the Investors' Loan Notes held by the Investors (and any other loan notes subscribed for by the Investors following the Adoption Date) on or prior to the Exit Date

"Relevant Cash Outflows"

means the total amount from time to time invested by the Investors in the Company (or any Group Company) including any equity subscription or any loan notes including for the avoidance of doubt the aggregate price (including any premium paid) paid by the Investors on the allotment and issue of the A Ordinary Shares to the Investors together with the subscription price paid by the Investors for the Investors' Loan Notes on or prior to the Exit Date

"Remuneration Committee"

means the remuneration committee of the Company constituted in accordance with the terms of the Investment Agreement

"Sale"

the transfer (other than a transfer permitted under **Articles 19.2.1** and **19.2.2** of any interest in Shares to any person (whether by one transaction or by a series of transactions) resulting in that person alone or together with persons acting in concert with such person having the right to exercise a Controlling Interest

"Sale Shares"

as the context requires, has the meaning given to that term at **Article 20.1.1** or **Article**

22.1.4

"Second Slice Multiple"

shall mean.

(i) in the event of an Exit before the fifth anniversary of the Adoption Date 2.8; and

(ii) in the event of an Exit after the fifth anniversary of the Adoption Date but prior to the sixth anniversary of the Adoption Date 3.1

"Second Slice Return"

means the amount of the Exit Capitalisation which when aggregated with the Relevant Cash Inflows provides to the Investors a return equal to the aggregate Relevant Cash Outflows multiplied by the Second Slice Multiple

"Seller"

a holder who wishes, or is required, to transfer any Share or any beneficial interest therein to a person to whom **Article 19** does not apply

"Serious Ill Health"

for the purpose of these Articles means an illness or disability certified by a general medical practitioner (nominated or approved by the Lead Investor) as rendering the departing person permanently incapable of carrying out his role as an employee and/or director save where such incapacity has arisen as a result of the abuse of drugs or alcohol

"Shares"

shares in the capital of the Company

"Statutes"

the Companies Act as defined in section 2 of the 2006 Act and every other statute, order, regulation, instrument or other subordinate legislation for the time being in force relating to companies and affecting the Company

"Tag Along Offer"

the meaning given to that term at **Article 21.3**

"Transfer Event"

the meaning given to that term at **Article 22.1**

"Transfer Notice"

the meaning given to that term at **Article 20.1**

"Transfer Price"

the meaning given to that term at **Article 20.1.3**

- | | |
|---------------------------------|---|
| "Unallocated Shares" | the authorised but, as at the Adoption Date unissued 337,954 B Ordinary Shares |
| "Voting Ordinary Shares" | the A1 Ordinary Shares, the A2 Ordinary Shares and the C Ordinary Shares |
| "Warehouse" | any or all of the Company, an Employee Trust or employees or prospective employees of any Group Company in such numbers and proportions of Shares as the Remuneration Committee may determine with Investor Consent |
-
- 2.2 Unless the context otherwise requires, words and expressions contained in these Articles bear the same meaning as in the Statutes (but excluding any statutory modification not in force when these Articles become binding on the Company).
- 2.3 References to any statute or statutory provision include, unless the context otherwise requires, a reference to that statute or statutory provision as modified, replaced, re-enacted or consolidated and in force from time to time and any subordinate legislation made under the relevant statute or statutory provision.
- 2.4 Reference to a **"subsidiary"** or **"holding company"** will have the meanings defined by section 1159 CA 2006 and for the purposes of section 1159(1) a company (the first company) shall be treated as a member of another company if:
- 2.4.1 any of its subsidiaries is a member of that other company; or
 - 2.4.2 any shares in that other company are held by a person acting on behalf of the first company or any of its subsidiaries, or
 - 2.4.3 any shares in that other company are registered in the name of a person (or its nominee) by way of security or in connection with the granting of security over those shares by the first company.
- 2.5 Where the word **"address"** appears in these Articles it is deemed to include postal address and, where applicable, electronic address.
- 2.6 Words signifying the singular number only include the plural number and vice versa

PROCEEDINGS OF DIRECTORS

3. UNANIMOUS DECISIONS OF DIRECTORS

A decision of the directors may take the form of a resolution in writing, where each eligible director has signed one or more copies of it, or to which each eligible director has otherwise indicated agreement in writing. Model Article 8(2) shall not apply to the Company.

4. CALLING A DIRECTOR'S MEETING

Any director may call a directors' meeting by giving not less than 5 days' notice of the meeting (or such lesser notice as all the directors may agree) to the directors or by authorising the company secretary (if any) to give such notice. Model Article 9(1) shall not apply to the Company.

5. REMOVAL OF DIRECTORS

The office of any director shall be vacated if:

- 5.1 (in the case of an executive director only) he shall, for whatever reason, cease to be employed by the Company or any other member of the Group and he does not remain an employee of any other Group Company; or
 - 5.2 (other than in the case of the Investor Director) all the other directors or the Lead Investor request his resignation in writing,
- and the provisions of Model Article 18 shall be extended accordingly.

6. PARTICIPATION IN DIRECTORS' MEETINGS

- 6.1 Subject to these Articles, directors participate in a directors' meeting, or part of a directors' meeting, when:
 - 6.1.1 the meeting has been called and takes place in accordance with these Articles; and
 - 6.1.2 they can each simultaneously communicate with and to the others participating in the meeting any information or opinions they have on any particular item of the business of the meeting.
- 6.2 In determining whether directors are participating in a directors' meeting, it is irrelevant where any director is or, subject to **Article 6.1.2**, how they communicate with each other
- 6.3 If all the directors participating in a meeting are not in the same place, they may decide that the meeting is to be treated as taking place wherever any of them is.

6.4 Model Article 10 shall not apply to the Company.

6.5 Model Article 9(2)(c) shall be amended by the insertion of the word "simultaneously" after the words "how it is proposed that they should" and before the words "communicate with each other during the meeting".

7. **QUORUM FOR DIRECTORS' MEETINGS**

7.1 The quorum for directors' meetings shall throughout each meeting be two directors one of whom must, subject to **Article 7.2**, be an Investor Director (if appointed).

7.2 In relation to any meeting of the directors to consider whether to authorise a conflict of interest of an Investor Director:

7.2.1 it shall not be necessary for the Investor Director to be present in person or by proxy in order to constitute a quorum;

7.2.2 the meeting shall not deal with any other business other than that of the consideration of the conflict of interest of an Investor Director; and

7.2.3 the quorum for such meeting shall be one and Model Article 11(2) is varied accordingly.

7.3 Without prejudice to **Article 7.2**, if, and as a consequence of section 175(6) of the 2006 Act, a director cannot vote or be counted in the quorum at a meeting of the directors the following apply:

7.3.1 if the eligible directors participating in the meeting do not constitute a quorum, then the quorum for the purposes of the meeting shall be one which must be, other than a meeting pursuant to **Article 7.2**, an Investor Director (if appointed) and Model Article 11(2) is varied accordingly; and

7.3.2 if, notwithstanding **Article 7.3.1**, the eligible directors participating in the meeting still do not constitute a quorum, then the meeting must be adjourned to enable the holders to authorise any situation in which a director has a conflict of interest.

8. **DIRECTORS' INTERESTS**

8.1 Subject to these Articles and the 2006 Act, and provided that he has disclosed to the directors the nature and extent of any interest of his, a director (including an Investor Director) notwithstanding his office, but, in the case of directors other than the Investor Director, subject always to obtaining Investor Consent:

- 8.1.1 may be a party to or otherwise interested in any transaction or arrangement with the Company or in which the Company is in any way interested;
 - 8.1.2 may hold any other office or employment with the Company (other than the office of Auditor);
 - 8 1.3 may be a director or other officer of, or employed by, or be a party to any transaction or arrangement with or otherwise interested in any body corporate in which the Company is in any way interested;
 - 8.1.4 may, or any firm or company of which he is a member or director may, act in a professional capacity for the Company or any body corporate in which the Company is in any way interested (other than as Auditor); and
 - 8.1.5 shall not be accountable to the Company for any benefit which he receives or profits made as a result of anything permitted by **Articles 8.1.1 to 8.1.5** and no such transaction or arrangement shall be liable to be avoided on the ground of any such interest or benefit.
- 8 2 Except for a vote under section 175(4) of the 2006 Act authorising any conflict of interest which the director or any other interested director may have or where the terms of authorisation of such conflict of interest provide that the director may not vote in situations prescribed by the Board when granting such authorisation, a director will be entitled to participate in the decision making process for voting and quorum purposes on any of the matters referred to in **Articles 8.1.1 to 8.1.3** (inclusive) and in any of the circumstances set out in Model Articles 14(3) and 14(4).
- 8.3 For the purposes of **Article 8.1**:
- 8.3.1 a general notice to the Board that a director is to be regarded as having an interest of the nature and extent specified in the notice in any transaction or arrangement in which a specified person or class of persons is interested shall be deemed to be a disclosure that the director has an interest in any such transaction of the nature and extent so specified;
 - 8 3.2 an interest of which a director has no knowledge and of which it is unreasonable to expect him to have knowledge shall not be treated as an interest of his, and
 - 8 3.3 an interest of a person who is for any purpose of the Statutes (excluding any statutory modification not in force at the date of adoption of these Articles) connected with a director shall be treated as

an interest of the director and in relation to an alternate director an interest of his appointor shall be treated as an interest of the alternate director.

8 4 Model Articles 14(1), 14(2) and 14(5) shall not apply to the Company.

9. **AUTHORISATION OF DIRECTORS' CONFLICTS OF INTEREST**

9.1 Any approval of a conflict of interest (other than a conflict of interest of the Investor Director or the Chairman) pursuant to **Article 8** will be subject, in addition to board authorisation pursuant to section 175 of the 2006 Act, to obtaining Investor Consent who may specify that certain conditions be attached to such authorisation. Any such board authorisation pursuant to section 175 of the 2006 Act which is given without obtaining Investor Consent or without such conditions attaching to the authorisation as specified by the Lead Investor will be ineffective.

9 2 Any conflict of interest of the Investor Director or the Chairman may be authorised either by way of authorisation of the Board as set out at section 175 of the 2006 Act or by way of resolution of the holders. Any refusal of the Board to authorise such conflict of interest will not in any way affect the validity of a resolution of the holders to authorise such conflict of interest.

9.3 An Investor Director will not be in breach of his duty under sections 172, 173 and 175 of the 2006 Act or the authorisation given by this **Article 9** by reason only that he receives confidential information from a third party relating to a conflict of interest which has been authorised by this **Article 9** and either fails to disclose it to the directors or fails to use it in relation to the Company's affairs.

10 **INVESTOR DIRECTOR AND CHAIRMAN**

10 1 An Investor Majority may from time to time appoint up to two people to be a director each with the title of investor director (each an "**Investor Director**" which expression shall, where the context so permits, include a duly appointed alternate of such a director) and from time to time remove any Investor Director from office.

10.2 There shall not be more than two directors bearing the title of Investor Director in office at any time.

10.3 Any appointment or removal of an Investor Director shall be in writing served on the Company signed by an Investor Majority and shall take effect at the time it is served on the Company or produced to a meeting of the Board, whichever is earlier. Any such appointment or removal by a corporation may be signed on its behalf by its duly authorised representative.

- 10.4 Notice of meetings of the Board shall be served on any Investor Director who is absent from the United Kingdom at the address for service of notice on each Investor under the Investment Agreement.
- 10.5 Upon written request by an Investor Majority the Company shall procure that either or both of the Investor Directors are forthwith appointed as directors of any other member of the Group, to any committee of the Board or the board of any member of the Group.
- 10.6 Where any decision is to be made by any member of the Group in relation to the exercise, enforcement or waiver of its rights under the Acquisition Agreement (as defined in the Investment Agreement) or against any holder of Management Shares or any director or person connected with any such holder or director, any such decision shall be within the exclusive power of the Investor Director (to the exclusion of the other directors but after consultation with a majority thereof) who shall have (without limitation) exclusive authority in relation to the conduct of any proceedings of whatever nature arising in connection with any such rights and no other director shall have power to settle or compromise any such claim.
- 10.7 An Investor Majority may from time to time, in addition to the Investor Directors, appoint any person to be a director and the chairman of the Board (the "**Chairman**") and remove from the office of Chairman and director a person so appointed. **Article 10.3** shall apply to any such appointment or removal mutatis mutandis. Model Article 12 shall be modified accordingly. The fee payable to the Chairman shall be at such rate agreed between the Board and the Chairman and, in the absence of agreement, shall be determined by the Investor Director.
- 10.8 If the provisions of **Article 13.3.5** apply, the Investor Directors shall be entitled to exercise such number of votes at any meeting of the Board or of any committee of which he is a member which is equal to one vote more than half of the total number of votes exercisable at such a meeting or, in the event that this would result in his apparently being entitled to exercise a fractional number of votes (for example 2.5 with a Board of 5) the number of votes he is entitled to exercise shall be rounded up to the nearest whole number.
- 10.9 **CASTING VOTE**
- 10.9.1 Reference in Model Article 13(1) to "chairman or other director chairing the meeting" shall be construed as a reference to the "Investor Director" for so long as one is appointed
- 10.9.2 Reference in Model Article 13(2) to "chairman or other director" shall be construed as a reference to the "Investor Director" for so long as one is appointed

11. ALTERNATE DIRECTORS

11.1 Appointment and removal of alternates

11.1 1 Any director (the "**appointor**") may appoint as an alternate director any other director, or, with Investor Consent, any other person, to

11 1.1.1 exercise that director's powers, and

11.1 1 2 carry out that director's responsibilities,

in relation to participation in directors' meetings and the taking of decisions by the directors in the absence of the alternate director's appointor.

11 1.2 Any appointment or removal of an alternate director must be effected by notice in writing to the Company signed by the appointor, or in any other manner approved by the directors.

11.1.3 The notice must:

11.1 3.1 identify the proposed alternate director; and

11.1.3.2 in the case of a notice of appointment, contain a statement signed by the proposed alternate director that the proposed alternate director is willing to act as the alternate director of the director giving the notice

11 2 Rights and responsibilities of alternate directors

11.2.1 An alternate director has the same rights, in relation to participation in directors' meetings and the taking of decisions by the directors and in relation to directors' written resolutions, as the alternate director's appointor.

11.2.2 An alternate director may act as an alternate director for more than one appointor

11 2.3 Except if these Articles specify otherwise, alternate directors.

11.2.3.1 are deemed for all purposes to be directors,

11.2 3.2 are liable for their own acts and omissions,

11.2.3.3 are subject to the same restrictions as their appointors; and

11.2 3.4 are not deemed to be agents of or for their appointors,

and, each alternate director shall be entitled to receive notice of all meetings of directors and of all meetings of committees of directors of which his appointor is a member

11.2.4 A person who is an alternate director but not a director

11.2.4.1 may be counted as participating for the purposes of determining whether a quorum is participating (but only if that person's appointor is not participating); and

11.2 4.2 may participate in a unanimous decision of the directors (but only if his appointor is an eligible director in relation to that decision, but does not participate).

No alternate director may be counted as more than one director for such purposes.

11.2.5 A director who is also an alternate director is entitled, in the absence of his appointor, to a separate vote on behalf of his appointor, in addition to his own vote on any decision of the directors (provided that his appointor is an eligible director in relation to that decision), but shall not count as more than one director for the purposes of determining whether a quorum is present.

11.2 6 An alternate director is not entitled to receive any remuneration from the Company for serving as an alternate director except such part of the alternate director's appointor's remuneration as the appointor may direct by notice in writing made to the Company.

11.3 Termination of alternate directorship

11.3.1 An alternate director's appointment as alternate terminates:

11 3.1.1 when the alternate director's appointor revokes the appointment by notice to the Company in writing specifying when it is to terminate;

11.3 1.2 on the occurrence in relation to the alternate director of any event which, if it occurred in relation to the alternate director's appointor, would result in the termination of the appointor's appointment as a director;

11.3.1.3 on the death of the alternate director's appointor; or

11.3.1 4 when the alternate director's appointor's appointment as a director terminates.

12. **ALTERNATE DIRECTORS' EXPENSES**

Model Article 20 shall be amended by the insertion of the words "(including alternate directors)" before the words "properly incur".

SHARE RIGHTS

13. **SHARE RIGHTS**

Save as otherwise provided in these Articles, the A1 Ordinary Shares, the A2 Ordinary Shares and the Management Shares shall be treated *pari passu* and as if they constituted one class of Share. The rights attached to the A1 Ordinary Shares, the A2 Ordinary Shares and the Management Shares are as follows:

13.1 **Dividends**

Any profits which the Company determines to distribute in respect of a Financial Year shall, with the approval of the holders in general meeting and Investor Consent, be applied in distributing the balance of such profits amongst the holders of the A1 Ordinary Shares, the A2 Ordinary Shares and the B Ordinary Shares then in issue (but disregarding any Shares held by the Company in treasury) *pari passu* according to the number of such Shares held by them respectively as if they constituted one class of Share.

13.2 **Capital**

Subject to the provisions of **Article 34**, on a return of capital on a winding-up or liquidation of the Company or any other return of capital (each a "**Relevant Event**"), the assets of the Company available for distribution after payment of its debts and liabilities and of the costs, charges and expenses incurred in connection with such Relevant Event will be distributed amongst the holders as follows:

Firstly, in paying to the holders of the C Ordinary Shares, an amount equal to the Issue Price paid for such Shares, and

Secondly, the balance to be paid to the holders of the A1 Ordinary Shares, the A2 Ordinary Shares and the B Ordinary Shares in proportion to the number of A1 Ordinary Shares, A2 Ordinary Shares and B Ordinary Shares held by them respectively (*pari passu* as if they constituted one class of Share)

13.3 **Voting**

13.3.1 Subject to any rights or restrictions for the time being attached to any class or classes of Shares, and to **Articles 13.3.3 to 13.3.10**, each holder of Voting Ordinary Shares shall be entitled to receive notice of,

and to attend and speak, at any general meeting and at any separate class meeting of the Company for Shares of the class they hold and:

- 13.3.1.1 the holders of the A Ordinary Shares (as a class) shall be entitled to cast 100% of the voting rights that are not capable of being cast by the holders of the C Ordinary Shares pursuant to **Article 13.3.1.2** and where there is more than one holder of A Ordinary Shares each holder shall be entitled to cast that proportion of the voting rights capable of being cast by holders of A Ordinary Shares that his holding of A Ordinary Shares bears to the total number of A Ordinary Shares in issue; and
- 13.3.1.2 the holders of the C Ordinary Shares (as a class) shall subject to **Articles 13.3.4 to 13.3.10** (inclusive) be entitled to cast 49% of the total number of voting rights capable of being cast by all holders of Voting Ordinary Shares and where there is more than one holder of C Ordinary Shares the voting rights capable of being cast by the holders of the C Ordinary Shares shall be divided equally amongst all holders of the C Ordinary Shares in issue; and
- 13.3.1.3 the holders of each of the B Ordinary Shares shall not be entitled to cast any vote at any general meeting of the Company.

The holders of the B Ordinary Shares shall only be entitled to receive notice of, and to attend and speak, at any separate class meeting of the Company for Shares of the class they hold but shall be entitled to receive notice of, to attend but not speak or vote at any general meeting of the Company.

- 13.3.2 Each holder shall be entitled to appoint more than one proxy to exercise all or any of his rights to attend and to speak and vote at a general meeting or at a separate class meeting of the Company provided that each proxy is appointed to exercise the rights attached to a different Voting Ordinary Share or Voting Ordinary Shares held by such holder.
- 13.3.3 If more than one proxy is appointed in respect of a different Voting Ordinary Share or Voting Ordinary Shares by a holder in accordance with **Article 13.3.2** but the document appointing the proxies does not specify to which Voting Ordinary Share or Voting Ordinary Shares the appointment relates, then the person first named as proxy in such

document shall be the only proxy for such holder entitled to attend and vote at the relevant general meeting or separate class meeting.

13.3.4 The provisions of **Article 13.3.5** shall apply if:

13.3.4.1 the Company has failed to redeem any of the Loan Notes on the due date for redemption and/or pay interest within 5 Business Days of the due date for payment in accordance with the Loan Note Instruments (for whatever reason including any restriction imposed by any intercreditor or similar arrangement), or

13.3.4.2 the Company is in breach of any of the financial covenants under the Facility Documents; or

13.3.4.3 the Company is in the reasonable opinion of the Lead Investor (acting in good faith) likely to fail or breach (as appropriate) at any time during the following 12 months (based on the most recent monthly information provided pursuant to clause 6 of the Investment Agreement) the financial covenants as set out in the Facility Documents, or

13.3.4.4 there is a material breach of the provisions of these Articles or the Investment Agreement by the Company or the Managers (or any of them) other than a breach of the warranties at paragraph 2 of Part 1 of Schedule 5 or paragraph 1 of Part 3 of Schedule 5 of the Investment Agreement.

13.3.5 If any of the circumstances stated at **Article 13.3.3** have occurred and a written notice has been served upon the Company by the Lead Investor, subject to the terms of the Investment Agreement:

13 3 5.1 the holders of Management Shares (or any proxy or proxies of such holders) shall cease to be entitled to receive notice of, or to attend and vote at (whether on a show of hands or on a poll), any general meeting of the Company or to be entitled to receive any further Shares issued by way of rights issue (or otherwise); and

13.3 5.2 new Shares may be issued, ranking ahead of or pari passu with the Management Shares, without the consent of the holders of the Management Shares and the provisions of **Article 17** shall not apply.

13.3.6 The provisions of **Article 13.3.5** shall:

13 3.6 1 in the case of the circumstances at **Article 13.3.4.1** existing, continue to apply until the Loan Notes required to be redeemed have been so redeemed or any interest due has been paid;

13 3.6 2 in the case of the circumstances at **Articles 13.3.4.2 to 13.3.4.4** (inclusive) existing, continue to apply for so long as such breach or failure subsists and has not been rectified to the reasonable satisfaction of the Lead Investor.

13.3.7 For the avoidance of doubt, the provisions in **Article 13.3.5** shall, where a written notice has been served upon the Company in accordance with **Article 13.3.5**, enable the holders of any A1 Ordinary Shares and/or A2 Ordinary Shares in issue from time to time:

13.3 7 1 to pass written resolutions of the Company pursuant to section 288 of the 2006 Act; and

13.3.7.2 to consent to the holding of a general meeting of the Company on short notice pursuant to section 307(4) of the 2006 Act,

in either case, on the basis that all such holders would constitute the only holders who would be entitled to attend and vote at a general meeting of the Company.

13.3.8 The provisions of **Article 13.3.9** shall apply:

13 3 8 1 if, at any time without Investor Consent, any holder (other than an Investor) or any former holder has transferred Shares in breach of the provisions of these Articles;

13.3.8.2 if, at any time without Investor Consent, any holder (other than an Investor) is in material breach of the provisions of these Articles and/or the Investment Agreement or any former holder (if still bound by the Investment Agreement) is in material breach of the provisions of the Investment Agreement other than a breach of the warranties at paragraph 2 of Part 1 or paragraph 1 of Part 3 of Schedule 5 of the Investment Agreement;

13.3.8.3 if any holder of Management Shares becomes a Leaver, or

13.3.8.4 if any holder has served a Transfer Notice pursuant to **Article 19.2.1** (Voluntary Transfers) in respect of any Management Shares.

13.3.9 If any of the circumstances stated at **Article 13.3.8** have occurred:

13.3.9.1 the Shares which such holder holds or to which he is entitled; and

13.3.9.2 any Shares formerly held by such holder which have been transferred either in breach of the provisions of these Articles or in accordance with **Article 19** (Permitted Transfers),

shall cease to entitle the holder thereof (or any proxy) to receive notice of or to attend and vote (whether on a show of hands or on a poll) at any general meeting or at any separate class meeting of the Company or to be entitled to receive any further Shares issued by way of rights issue (or otherwise) from the date of any breach referred to at **Articles 13.3.8.1** and **13.3.8.2**, the date a Leaver becomes a Leaver in accordance with **Article 22.3** or the date upon which a Transfer Notice is served pursuant to **Article 19.2.1** (as the case may be).

13.3.10 The provisions of **Article 13.3.9** shall continue to apply:

13.3.10.1 in the case of **Articles 13.3.8.1** or **13.3.8.2** applying, for so long as such breach subsists;

13.3.10.2 in the case of **Article 13.3.8.3** or **13.3.8.4** applying, until such time as the relevant Management Shares have been transferred pursuant to the provisions of **Articles 19.2.1** and/or **22** (as the case may be), and

13.3.10.3 notwithstanding any other provisions in these Articles, if any holder of Management Shares retains any Management Shares after the operation in full of the provisions of **Article 22** whilst such holder (or any person who has acquired such Shares under a permitted transfer (directly or indirectly) under **Article 19**) continues to hold such Shares

13.4 **Deferred Shares**

13.4.1 The Deferred Shares shall have the rights and are subject to the restrictions set out below, namely:

- 13.4.1.1 no right to participate in or receive any dividends declared, made or paid by the Company;
- 13.4.1.2 no right to receive notice of or attend or vote at any general or class meeting (other than a class meeting of the Deferred Shares) of the Company,
- 13.4.1.3 the approval of the Directors shall be required for any transfer of Deferred Shares;
- 13.4.1.4 the right on a return of assets in a winding-up to a repayment of the capital paid up on such shares after the rights of all holders of Equity Shares have been discharged in full and a sum of £100,000 has been paid in respect of each issued Equity Share in the capital of the Company, but no other right to participate in the assets of the Company, and
- 13.4.1.5 the Directors shall have irrevocable authority at any time to appoint any person to execute on behalf of the holders of the Deferred Shares a transfer thereof and/or an agreement to transfer the same, without making any payment to the holders thereof, to such person as the Directors may determine as custodian thereof and to cancel and/or purchase the same (in accordance with the provisions of statute) without making any payment to or obtaining the sanction of the holders thereof and pending the transfer and/or cancellation and/or purchase to retain the certificate for such shares;

but so that none of the rights or restrictions attached to such Deferred Shares shall be or be deemed to be varied or abrogated in any way by the passing or coming into effect of any resolution of the Company to reduce its share capital and/or reduce or cancel (as the case may be) its share premium account (including, without limitation, a resolution to reduce the capital paid up on, and to cancel, such Deferred Shares).

14. FACILITY DOCUMENTS

The payment of any dividends, return of capital on, buy back of or redemption of any Shares or any capital reduction shall be subject to any provisions restricting the same in the Facility Documents

15. **SALE OF THE SHARE CAPITAL OF THE COMPANY**

- 15.1 In the event of a Relevant Sale then, notwithstanding anything to the contrary in the terms and conditions governing such Relevant Sale the selling holders (immediately prior to such Relevant Sale) shall procure that the consideration (whenever received) shall be paid into a designated trustee account and shall be distributed amongst such selling holders, if the Relevant Sale occurs on or before the sixth anniversary of the Adoption Date, pursuant to **Article 34** or otherwise as if the same were a return of capital pursuant to **Article 13.2** (as applicable)
- 15.2 Immediately prior to and conditionally upon a Listing all holders shall enter into such reorganisation of the share capital of the Company as they may agree to ensure that the amounts referred to in **Article 34** (if the Listing occurs on or before the sixth anniversary of the Adoption Date) or otherwise **Article 13.2** (as applicable) are allocated between the holders of the Shares the subject of such Listing in the same proportions as the provisions of **Articles 34** or **13.2** (as applicable) would provide in distributing the proceeds of a Relevant Sale to all holders selling Shares in connection with a Relevant Sale

16. **VARIATION OF RIGHTS**

- 16.1 Subject to **Articles 13.3.5** and **16.2**, the class rights attached to classes of Share may from time to time (whether or not the Company is being wound up) be varied or abrogated with the consent in writing of the holders of at least three-quarters in nominal value of the issued Shares of that class or with the sanction of a special resolution passed at a separate class meeting of the holders of that class or, in relation to the variation or abrogation of the A1 Ordinary Shares and/or A2 Ordinary Shares, with Investor Consent, and where **Article 16.6** applies, with the consent of the majority of the A2 Investors
- 16.2 In the case of A1 Ordinary Shares, A2 Ordinary Shares or Management Shares, if the Relevant Conditions are satisfied, the class rights attaching to A1 Ordinary Shares and/or A2 Ordinary Shares and/or Management Shares may be varied or abrogated with the consent in writing of the holders of over one-half in nominal value of the issued Shares of that class (excluding any Shares held by the Company as treasury shares) or with the sanction of an ordinary resolution passed at a separate class meeting of the holders of that class.
- 16.3 For each such separate class meeting referred to in **Articles 16.1** and **16.2**, all the provisions of these Articles relating to general meetings of the Company (and to the proceedings at such general meetings) shall apply mutatis mutandis, but so that the necessary quorum shall be one holder of the relevant class present in person or by proxy or (being a corporation) by a duly authorised representative and holding or representing not less than one-third in nominal value of the issued Shares of the relevant class (excluding any Shares held by

the Company as treasury shares), that every holder of Shares of the class shall be entitled on a poll to one vote for every such Share held by him and that any holder of Shares of the class present in person or by proxy or (being a corporation) by a duly authorised representative may demand a poll. For the purpose of this Article one holder present in person or by proxy or (being a corporation) by a duly authorised representative may constitute a meeting.

- 16.4 The rights attached to A1 Ordinary Shares and A2 Ordinary Shares shall, with the intent that this **Article 16.4** shall create class rights attaching to such class of Share for the purposes of **Article 16.1**, be deemed to be varied by any of the actions referred to below each of which will require Investor Consent (and, to the extent that such variation relates to any action referred to in part 2 of Schedule 6 of the Investment Agreement, the written consent of the A2 Lead Investor). The actions are:

- 16.4.1 any variation (including any increase) in the issued share capital of the Company or any Group Company or the creation or the granting of any options or other rights to subscribe for, or convert into, Shares or shares of any Group Company or the variation of the rights attaching to the Shares or shares of any Group Company save in respect of the allocation of the Unallocated Shares or as otherwise envisaged under the terms of the Investment Agreement or these Articles;
- 16.4.2 the reduction of the Company's share capital, share premium account, capital redemption reserve or any other reserve or the purchase by the Company of any of its own Shares;
- 16.4.3 the holding of any Shares by the Company in treasury and the transfer by the Company of any such Shares out of treasury (save for those transfers of Shares out of treasury as specified at **Article 20.2.8**);
- 16.4.4 the amendment of any provisions of the Articles;
- 16.4.5 the redemption of any Loan Notes of the Company other than on a redemption in accordance with the terms of the Loan Notes;
- 16.4.6 the capitalisation of any undistributed profits (whether or not the same are available for distribution and including profits standing to the credit of the reserve) or any sums standing to the credit of the share premium account or capital redemption reserve fund of the Company save as envisaged by the Investment Agreement;
- 16.4.7 the taking of any steps to wind up the Company or any other Group Company;

- 16.4.8 any disposal of the whole or substantially the whole of the business of the Company or any Group Company or any of the shares in any Group Company,
- 16.4.9 the declaration, making or payment of any dividend or other distribution to holders other than as expressly permitted under the Articles;
- 16.4.10 subject to the terms of the Investment Agreement, the appointment or removal of any director or chairman of the Company,
- 16.4.11 the acquisition of any interest in any share in the capital of any company by any Group Company;
- 16.4.12 the establishment of or variation to any employee share option scheme;
- 16.4.13 the calling of a meeting of the Company to effect or approve any matter which would by virtue of this Article be a variation of the class rights of the A1 Ordinary Shares or A2 Ordinary Shares;
- 16.4.14 the creation by any Group Company of any mortgage, charge, pledge, lien, encumbrance or other security interest (excluding an interest arising by operation of law in the ordinary course of business or as required by the Facility Documents); or
- 16.4.15 any Listing;

and, save as provided in **Article 16.6**, for the purposes of this **Article 16.4**, the A1 Ordinary Shares and A2 Ordinary Shares shall be treated as if they constituted one class of Share and **Articles 16.1** and **16.2** should be construed accordingly.

- 16.5 None of the following events shall constitute a variation or abrogation of the class rights attaching to any class of Shares:
 - 16.5.1 the allotment of any Shares which will rank pari passu in all respects with any existing class of Shares or, pursuant to **Article 13.3.5.2**, any Shares ranking ahead of any existing class of Shares;
 - 16.5.2 an offer to the holders of any class of Shares of the right to receive new Shares of that class, credited as fully paid, instead of the whole or any part of a cash dividend specified by the Board, or
 - 16.5.3 any amendment to these Articles where authorised by special resolution of the Company.

- 16.6 The rights attached to the A2 Ordinary Shares shall, with the intent that this **Article 16.6** shall create class rights attaching to the A2 Ordinary Shares for the purposes of section 630 of the 2006 Act, be deemed to be varied by any of the matters referred to in the A2 Investor Covenants or otherwise by any variation to the rights attaching to the A1 Ordinary Shares or the A2 Ordinary Shares which results in the A1 Ordinary Shares and the A2 Ordinary Shares ceasing to rank pari passu.
- 16.7 For the purposes of this **Article 16**, the Relevant Conditions are as follows:
- 16.7.1 where the provisions of **Article 13.3.5** apply; and
- 16.7.2 the proposed variation, amendment or replacement of the class rights attaching to A1 Ordinary Shares and/or A2 Ordinary Shares and/or Management Shares (taking into account any other proposed variation, amendment or replacement of the class rights attached to the A1 Ordinary Shares and/or A2 Ordinary Shares and/or Management Shares which is to be made at the same time) is not discriminatory as between the A1 Ordinary Shares and A2 Ordinary Shares on the one hand and the Management Shares on the other.
- 17 **ALLOTMENT OF SHARES**
- 17.1 The directors shall not allot any Shares unless notice in writing is given to each holder specifying:
- 17.1.1 the number and classes of Shares which are proposed to be issued;
- 17.1.2 the consideration payable on such issue; and
- 17.1.3 any other material terms or conditions.
- 17.2 The notice specified in **Article 17.1** shall invite each holder to state, in writing within 20 Business Days from the date of such notice (which date shall be specified therein), whether he/it is willing to subscribe for any, and if so, how many Shares.
- 17.3 The Shares proposed to be issued pursuant to **Article 17.1** shall be issued to, a holder accepting the offer, in the same proportion (as nearly as may be) to the proportion which Shares held by such holder bear to the total number of Shares held by all such holders accepting such offer ("**Proportionate Element**") provided that such holder shall not be allocated more Shares than he shall have stated himself willing to take. It shall be open to each such holder to specify if he/it is willing to subscribe for Shares in excess of his Proportionate Element ("**Additional Shares**") and, if the holder does so specify, he shall state the number of Additional Shares

- 17.4 Within three Business Days of the expiry of the invitation made pursuant to the notice given under **Article 17.1** (or sooner if all holders have responded to the invitation and all the Shares proposed to be issued have been accepted in the manner provided for in **Article 17.3**), the Board shall allocate the Shares in the following manner:
- 17.4.1 if the total number of Shares applied for is equal to or less than the available number of Shares to be issued the Company shall allocate the number applied for in accordance with the applications; or
 - 17.4.2 if the total number of Shares applied for is more than the available number of Shares to be issued, each holder shall be allocated his Proportionate Element (or such lesser number of Shares to be issued for which he may have applied) applications for Additional Shares shall be allocated in accordance with such applications or, in the event of competition, (as nearly as may be) to each holder applying for Additional Shares in his/its Proportionate Element,
- and in either case the Company shall forthwith give notice of each such allocation (an "**Issue Notice**") to each of the persons to whom Shares are to be issued (a "**Member Subscriber**") and shall specify in the Issue Notice the time (being not later than 10 Business Days after the date of the Issue Notice) at which the allotment of the Shares shall be made.
- 17.5 Upon such allocations being made as set out in **Article 17.4**, the Board shall be bound, on payment of the subscription price, to issue the Shares comprised in the Issue Notice to the Member Subscriber named therein at the time therein specified free from any lien, charge or encumbrance
- 17.6 Notwithstanding any other provisions of this **Article 17**, no Shares shall be allotted to any party not bound by the Investment Agreement unless that party has first entered into a Joint Election if required to do so by the Lead Investor and a deed of adherence if so required by the Investment Agreement.
- 17.7 The provisions of **Articles 17.2** to **17.4** shall have no application if the provisions of **Article 13.3.5** apply and shall have no application to any holder to whom the provisions of **Articles 13.3.8** and **13.3.9** apply.
- 17.8 Notwithstanding anything herein to the contrary, the provisions in this **Article 17** shall not apply to any issue of the Unallocated Shares or shares issued pursuant to an Emergency Fund Raising (as defined in clause 11 of the Investment Agreement) Unallocated Shares shall be issued by the Company in accordance with the terms of the Investment Agreement
- 17.9 Other than in the case of an Emergency Fund Raising as provided for in the Investment Agreement, if any Share is allotted to a holder holding Shares of a

different class, such Shares shall as on and from the time of registration of the allotment of that Share in the register of members of the Company be immediately redesignated as a Share of the same class as those already held by that holder prior to such allotment.

17.10 In accordance with section 567(1) and (2) of the 2006 Act, sections 561(1) and 562(1) to (5) (inclusive) of the 2006 Act shall not apply to the Company.

17.11 References in **Articles 17** to the allotment of shares do not include the transfer of any Shares by the Company out of treasury by way of sale or transfer.

TRANSFER OF SHARES

18 GENERAL

18.1 No transfer of any Share shall be made or registered unless such transfer complies with the provisions of these Articles and the transferee has first entered into a Joint Election if required to do so by the Lead Investor and a deed of adherence if so required by the Investment Agreement. Subject thereto, the Board shall sanction any transfer so made unless (i) the registration thereof would permit the registration of a transfer of Shares on which the Company has a lien or (ii) the transfer is to a minor or (iii) the Board is otherwise entitled to refuse to register such transfer pursuant to these Articles

18.2 Save as permitted or required by these Articles, for the purposes of these Articles the following shall be deemed (but without limitation) to be a transfer of Shares:

18.2.1 any direction (by way of renunciation or otherwise) by a holder entitled to an allotment or transfer of Shares that a Share be allotted, issued or transferred to some person other than himself, and

18.2.2 any sale or any other disposition of any legal or equitable interest in a Share (including any voting right attached to it), (i) whether or not by the relevant holder, (ii) whether or not for consideration, and (iii) whether or not effected by a written instrument

19. PERMITTED TRANSFERS

Notwithstanding the provisions of any other Article, the transfers set out in this **Article 19** shall be permitted without restriction and the provisions of **Articles 19.2.1** (Voluntary Transfers) and **21** (Change of Control) shall have no application in respect of any such transfer or transfers (other than a transfer permitted under **Article 19.2** which shall be subject to the provisions of **Article 21**).

19.1 Permitted transfers by Investors

- 19.1.1 Any Investor who is a body corporate ("**Original Holder**") shall be entitled to transfer all or any of its Shares to any other body corporate which is for the time being its subsidiary or holding company or another subsidiary of its holding company (each such body corporate being a "**Related Company**") but if a Related Company whilst it is a holder of such Shares shall cease to be a Related Company of the Original Holder it shall, within 15 Business Days of so ceasing, transfer the Shares held by it to the Original Holder or any Related Company of the Original Holder and failing such transfer the holder shall be deemed to have given a Deemed Transfer Notice pursuant to **Article 22**
- 19.1.2 Any Investor may with Investor Consent transfer any Share to any investment trust company whose shares are listed on a recognised investment exchange which is also managed by such Investor or the manager of such Investor or by a holding company of such management company or any subsidiary company of such holding company
- 19.1.3 Any Investor may transfer all or any of its Shares to an Investor Associate or to any other member of its Investor Group.
- 19.1.4 Any Investor may transfer Shares to any partner of a limited partnership (or their nominees) acting in such capacity (provided such transfer is made in accordance with the fund or partnership agreement governing such entity or partnership) or to the holders of units in a unit trust (or their nominees) on a distribution in kind or otherwise under the relevant partnership agreement or trust deed where such limited partnership or unit trust is an Investor Associate of the Investor.
- 19.1.5 Any Shares which are held by an Investor on behalf of any collective investment scheme (within the meaning of section 235 of FSMA), may be transferred to participants (within the meaning of that section), in the scheme in question.
- 19.1.6 Any Investor may transfer any Shares to the beneficial owner of the Shares, including, without limitation, to any person who becomes a general partner, nominee or trustee for a limited partnership, unit trust or investment trust in place of, or in addition to, such Investor.
- 19.1.7 Any Investor may transfer any Shares to a Syndicatee (as defined in the Investment Agreement) pursuant to, and subject to and in accordance with, **clause 15** of the Investment Agreement

19.2 Permitted Transfers by all Shareholders

- 19.2.1 Subject to **Article 16.4** any holder may at any time transfer any Shares, in accordance with the provisions of the Statutes, to the Company.
- 19.2.2 Subject to the Investment Agreement any holder may at any time transfer all or any of his Shares to any other person with Investor Consent.
- 19.2.3 Any Shares may be transferred pursuant to **Article 21.1** (Tag along) and/or **Articles 21.5** and **21.6** (Drag along) and/or **Article 22** (Compulsory Transfers).
- 19.2.4 The Company may sell or transfer any Shares held by it as treasury shares to such person or persons identified by the Investors with Investor Consent.

19.3 Transfers to relations and trustees

- 19.3.1 Subject to **Articles 19.3.2** and **19.3.3** any shareholder who is an individual may, with Investor Consent, at any time during his lifetime transfer all or part of the Shares originally allotted to and still held by him to a person or persons shown to the reasonable satisfaction of the Board to be:
 - 19.3.1.1 a Family Member of his; or
 - 19.3.1.2 trustees of a Family Trust in relation to that Shareholder.
- 19.3.2 Subject to **Article 19.3.3**, no Shares shall be transferred under **Article 19.3.1** by any person who previously acquired those Shares by way of transfer under **Article 19.3.1** save to the original shareholder who transferred them under **Article 19.3.1**.
- 19.3.3 Where Shares are held by trustees under a Family Trust:
 - 19.3.3.1 those Shares may, on any change of trustees, be transferred by those trustees to any new trustee of that Family Trust; and
 - 19.3.3.2 those Shares may at any time be transferred by those trustees to the settlor of that trust, provided that person has not, as at the date of transfer ceased to be a Family Member or any other person to whom that settlor could have transferred them under **Article 19.3.1** if he had remained the holder of them.

19.3 4 If any person has acquired Shares as:

19 3 4.1 a Family Member of a shareholder by way of one or more permitted transfers and that person ceases to be a Family Member of that shareholder; or

19 3 4 2 a trustee of a Family Trust and such Shares cease to be held on Family Trust for the shareholder that originally transferred the shares pursuant to **Article 19.3.1**

that person shall forthwith (and in any event within 20 Business Days of such cessation) transfer all the Shares then held by that person back to that shareholder, for such consideration as they agree, or in default of such agreement, at the Fair Value.

19 4 Any shareholder being an individual may transfer Shares to the Warehouse at any price or for no consideration pursuant to any call option agreement approved in advance by Investor Consent and entered into between the shareholder and the Company.

20. **VOLUNTARY TRANSFERS**

20.1 Except as permitted under **Article 19**, any Seller who wishes to transfer Shares shall give notice in writing (the "**Transfer Notice**") to the Company of his wish specifying:

20.1.1 the number and class of Shares (the "**Sale Shares**") which he wishes to transfer;

20 1 2 the name of any third party to whom he proposes to sell or transfer the Sale Shares; and

20 1.3 the price at which he wishes to transfer the Sale Shares (the "**Transfer Price**").

20 2 The Seller may state in the Transfer Notice that he is only willing to transfer all the Sale Shares in which case no Sale Shares can be sold unless offers are received for all of them.

20.3 No Transfer Notice once given in accordance with these Articles shall be withdrawn unless the Seller is obliged to procure the making of an offer under **Articles 21.1 to 21.4** and is unable to procure the making of such an offer or the Lead Investor approves such withdrawal. In that event the Seller shall be entitled to withdraw such Transfer Notice without liability to any person, prior to completion of any transfer save that where the Lead Investor approves such withdrawal, the Seller shall bear all costs relating to such Transfer Notice.

20.4 The Transfer Notice shall constitute the Company the agent of the Seller for the sale of the Sale Shares upon the following terms:

20.4.1 the price for each Sale Share is the Transfer Price; and

20.4.2 the Sale Shares are to be sold free from all liens, charges and encumbrances together with all rights attaching to them.

20.5 Within five Business Days of the receipt by the Company of a Transfer Notice, the Sale Shares referred to therein shall be offered by the Company to the holders (other than the Seller) in accordance with the following order of priorities (the "**Offer Notice**"):

20.5.1 in the first instance to all persons in the category set out in the corresponding line in column (2) in the table below; and

20.5.2 to the extent not accepted by persons in column (2), to all persons in the category set out in the corresponding line in column (3) in the table below;

20.5.3 to the extent not accepted by persons in column (3), to all persons in the category set out in the corresponding line in column (4) in the table below;

(1) Class of Sale Shares	(2) First Offer to	(3) Second Offer to	(4) Third Offer to
A1 Ordinary Shares	Holders of A1 Ordinary Shares	Holders of A2 Ordinary Shares	Holders of B Ordinary Shares
A2 Ordinary Shares	Holders of A2 Ordinary Shares	Holders of A1 Ordinary Shares	Holders of B Ordinary Shares
B Ordinary Shares	Warehouse	Holders of B Ordinary Shares	Holders of A Ordinary Shares
C Ordinary Shares	Warehouse	Holders of C Ordinary Shares	Holders of B Ordinary Shares

Any B Ordinary Shares acquired by the holders of A Ordinary Shares shall automatically be re-designated as A1 Ordinary Shares in the case of the A1 Investors and A2 Ordinary Shares in the case of the A2 Investors.

- 20.6 Subject always to the order of priorities set out in **Article 20.5**, the Sale Shares shall:
- 20.6.1 in respect of any offer of Sale Shares to the Warehouse, be treated as offered in such numbers and proportions as the Remuneration Committee or, in default the Lead Investor shall direct); and
- 20.6.2 in all other cases, be treated as offered on terms that, in the event of competition, the Sale Shares offered shall be sold to a holder accepting the offer in the same proportion (as nearly as may be) to the proportion which Shares held by such holder bear to the total number of Shares held by all such holders accepting such offer (the "**Proportionate Entitlement**").
- 20.7 Each holder may state in writing within 20 Business Days from the date of an Offer Notice (which date shall be specified therein) whether he is willing to purchase.
- 20.7.1 some or all of his Proportionate Entitlement; and
- 20.7.2 the number of Sale Shares in excess of his Proportionate Entitlement ("**Excess Sale Shares**") he is willing to purchase (if any).
- 20.8 Any acceptance of Sale Shares comprised in an Offer Notice by the Company (as the Warehouse) is conditional upon the Company having satisfied on or before the date of completion:
- 20.8.1 the requirements of the Statutes to purchase the Sale Shares in question, and
- 20.8.2 any requirement for consent under **Article 16**.
- 20.9 If any Sale Shares accepted by the Company cannot be bought back at completion by the Company because it is unable to comply with **Articles 20.8.1** and/or **20.8.2**, then this **Article 20** shall take effect as if no acceptance was given by the Company.
- 20.10 Within three Business Days of the expiry of the Offer Notice period set out in **Article 20.7** (or sooner if all holders have responded to the invitation and all the Sale Shares shall have been accepted in the manner provided in **Article 20.7**), the Board shall allocate the Sale Shares in the order of priorities set out in **Article 20.5** and subject thereto in the following manner:

20.10.1 if the total number of Sale Shares applied for is equal to or less than the available number of Sale Shares the Company shall allocate the number applied for in accordance with the applications, or

20.10.2 if the total number of Sale Shares applied for is more than the available number of Sale Shares:

20.10.2.1 each holder shall be allocated his Proportionate Entitlement (or such lesser number of Sale Shares for which he may have applied) in the order of priorities set out in **Articles 20.5.1 and 20.5.2**; and

20.10.2.2 applications for Excess Sale Shares shall be allocated in accordance with such applications or, in the event of competition, (as nearly as may be) to each holder applying for Excess Shares in the proportion which Shares held by such holder bears to the total number of Shares held by all such holders applying for Excess Sale Shares provided that such holder shall not be allocated more Excess Sale Shares than he shall have stated himself willing to take,

and in either case the Company shall forthwith give notice of each such allocation (an "**Allocation Notice**") to the Seller and each of the persons to whom Sale Shares have been allocated (a "**Member Applicant**") and shall specify in the Allocation Notice the place and time (being not later than 10 Business Days after the date of the Allocation Notice) at which the sale of the Sale Shares shall be completed.

20.11 Subject to **Article 20.12**, upon such allocations being made as set out in **Articles 20.5 to 20.10** (inclusive):

20.11.1 the Seller shall be bound, on payment of the Transfer Price, to transfer the Sale Shares comprised in the Allocation Notice to the Member Applicants named therein at the time and place therein specified free from any lien, charge or encumbrance;

20.11.2 if the Seller makes default in so doing, the Company, or some other person duly nominated by a resolution of the Board for that purpose, shall forthwith be deemed to be the duly appointed agent or attorney on behalf of the Seller with full power to give, execute, complete and deliver in the name and on behalf of the Seller:

20.11.2.1 a transfer of the relevant Sale Shares to the Member Applicant; and

- 20.11 2 2 all such consents, written resolutions and proxies as the appointed agent or attorney shall consider to be necessary or desirable for the purposes of any general meeting of the Company relating to or associated with or required to enable the sale of the Sale Shares to proceed;
- 20.11.3 the Company may receive and give a good discharge for the purchase money on behalf of the Seller and (subject to the transfer being duly stamped) enter the name of the Member Applicant in the register of members as the holder or holders by transfer of the Sale Shares so purchased by him or them; and
- 20.11.4 the Company shall forthwith pay the purchase money into a separate bank account in the Company's name and shall hold such money on trust (but without interest) for the Seller until he shall deliver up his certificate or certificates for the relevant Shares (or an indemnity, in a form reasonably satisfactory to the Board, in respect of any lost certificate) to the Company when he shall thereupon be paid the purchase money.
- 20.12 If the provisions of **Article 20.2** apply and if the total number of Shares applied for by Member Applicants is less than the number of Sale Shares then the Allocation Notice shall refer to such provision and shall contain a further invitation, open for 10 Business Days, to those persons to whom Sale Shares have been allocated to apply for further Sale Shares and completion of the sales in accordance with the preceding paragraphs of this **Article 20** shall be conditional upon all Sale Shares being sold
- 20.13 In the event of all the Sale Shares not being sold under the preceding paragraphs of this **Article 20** the Seller may, at any time within three calendar months after receiving confirmation from the Company that the pre-emption provisions herein contained have been exhausted, transfer all the Sale Shares (if **Article 20.2** does apply) or any Sale Shares which have not been sold (if **Article 20.2** does not apply) to any person or persons at any price not less than the Transfer Price provided that
- 20 13 1 the Board shall refuse registration of the proposed transferee unless the Company has Investor Consent to transfer the Sale Shares;
- 20.13 2 if the provisions of **Article 20.2** applied to the Transfer Notice, the Seller shall not be entitled, save with the written consent of all the other holders, to sell hereunder only some of the Sale Shares comprised in the Transfer Notice to such person or persons,
- 20.13.3 any such sale shall be a bona fide sale and the Board may request such information as it reasonably deems necessary to satisfy itself that

the Sale Shares are being sold in pursuance of a bona fide sale for not less than the Transfer Price without any deduction, rebate or allowance whatsoever to the Buyer; and

20 13.4 the Board shall refuse registration of the proposed transferee if such transfer obliges the Seller to procure the making of an offer in accordance with **Articles 21.1 to 21.4**, until such time as such offer has been made and, if accepted, completed.

21. CHANGE OF CONTROL

Tag along

21.1 Subject to **Article 21.2**, if the effect of any transfer of Shares by a Seller would, if completed, result in the transferee together with persons acting in concert or connected with that transferee obtaining a Controlling Interest, the Seller shall procure the making by such transferee of a Tag Along Offer to all of the other holders. Every holder or recipient of such offer, on receipt of a Tag Along Offer, shall be bound within 20 Business Days of the date of such offer (or within such longer period as the offer may specify) either to accept or reject such offer in writing (and in default of so doing shall be deemed to have rejected the offer). Until such Tag Along Offer has been made and completed the Board shall not sanction the making and registration of the relevant transfer or transfers.

21.2 The provisions of **Articles 21.1** and **21.5** shall not apply to any transfer of Shares:

21.2.1 pursuant to **Article 19** (other than **Article 19.2**); or

21.2.2 to any person who was an original party to the Investment Agreement.

21.3 "**Tag Along Offer**" means an unconditional offer, open for acceptance for not less than 20 Business Days, to purchase (i) Shares held by the recipients of a Tag Along Offer and (ii) any Shares for which such recipients may subscribe, free from all liens, charges and encumbrances, in each case at a price per Share equal to the highest price per Share, subject to adjustment to ensure that the aggregate proceeds of sale are distributed in accordance with **Article 15**, (exclusive of stamp duty, stamp duty reserve tax and commission) paid or to be paid by any transferee referred to in **Article 21.1** (or any person with whom such transferee is connected with or with whom such transferee is acting in concert) for Shares (inclusive of the Shares giving rise to the obligation to make the Tag Along Offer) within the period of one year ending on the proposed date of completion of such transfer of Shares

21.4 In the event of disagreement, the calculation of the relevant Tag Along Offer price shall be referred to the Auditors and **Articles 31.1** and **31.2** shall apply.

Drag along

- 21.5 If holders of the A1 Ordinary Shares (in **Articles 21.5** and 21.6, the "**Investor Sellers**") wish to transfer their Shares ("**Investor Sellers' Shares**") to any independent third party (the "**Buyer**"), pursuant to the terms of a bona fide arm's length transaction which would result in the Buyer obtaining a Controlling Interest, then the Investor Sellers shall also have the option (the "**Drag Along Option**"), exercisable by the Investor Sellers giving not less than five Business Days written notice to that effect (a "**Drag Along Notice**"), to require all other holders and any persons who would become holders upon the exercise of any options, warrants or other rights to subscribe for Shares which exist at the date the Drag Along Notice is given (the "**Called Shareholders**"), to transfer with full title guarantee all their Shares (including any such Shares issued or to be issued pursuant to any options, warrants or rights to subscribe existing at the date the Drag Along Option is exercised) (together the "**Called Shares**") to the Buyer, or as the Buyer directs. The Drag Along Option must provide for terms such that the sale and purchase of the Called Shares and the Investor Sellers' Shares will be completed at the same time. A Drag Along Notice shall be given by the Investor Sellers to each Called Shareholder and shall specify:
- 21.5.1 that the Called Shareholders are, or will, in accordance with this **Article 21.5** and **Articles 21.6** and **21.7**, be required to transfer with full title guarantee all their Called Shares free from all liens, charges and encumbrances,
 - 21.5.2 the price at which the Called Shares are to be transferred (which shall be an equal price per Share as the price payable for each of the Investor Sellers' Shares but subject to the aggregate proceeds of sale being distributed in accordance with **Article 15**). Such price may be satisfied in cash, securities or otherwise in any combination thereof and the manner of satisfaction shall be stated in the Drag Along Notice (and shall be in the same combination as between the Called Shares and the Investors Sellers' Shares),
 - 21.5.3 the documents required to be executed by the Called Shareholder, the time period within which those documents should be delivered to the Company; and
 - 21.5.4 the proposed date of completion of the sale of the Called Shares the subject of the Drag Along Notice.
- 21.6 Upon any person, following the issue of a Drag Along Notice, becoming a holder of Called Shares pursuant to the exercise of any option, warrant or other right to subscribe for or acquire Called Shares ("**a New Member**"), a Drag Along Notice, on the same terms as the previous Drag Along Notice, shall be deemed to have

been served upon the New Member who shall thereupon be bound to sell and transfer all such Called Shares acquired by him to the Buyer or as the Buyer may direct and the provisions of this **Article 21.6** shall apply mutatis mutandis to the New Member save that completion of the sale of such Called Shares shall take place forthwith upon the Drag Along Notice being deemed served on the New Member or, if later, upon the date of completion under the previous Drag Along Notice

21.7 If the Called Shareholders (or any of them which shall include any New Member) shall make default in transferring their Called Shares within any time period specified in the Drag Along Notice (including any Called Shares issued pursuant to any options, warrants or rights to subscribe existing at the date of the Drag Along Notice once exercised) in accordance with the provisions of any Drag Along Notice and pursuant to **Articles 21.5** and **21.6**, the provisions of **Article 20.11** (references therein to the Seller, Sale Shares, Allocation Notice and Member Applicant being read as references to the holder making such default, the Called Shares in respect of which such default is made, the Drag Along Notice and the Buyer respectively) shall apply to the transfer of such Called Shares mutatis mutandis but the Transfer Price shall be the price offered for such Called Shares as set out in **Article 21.5**.

21.8 A Drag Along Notice shall be served in accordance with **Article 32**.

21.9 A Drag Along Notice may be revoked at any time prior to the completion of the sale of the Called Shares of a Called Shareholder by the service of a written notice by the Investor Sellers on the Called Shareholder.

22. **COMPULSORY TRANSFERS**

22.1 In this **Article 22**, a "**Transfer Event**" means, in relation to any holder of Shares:

22.1.1 a holder who is an individual becoming bankrupt;

22.1.2 a holder making any arrangement or composition with his creditors generally,

22.1.3 a holder becoming a Leaver; and

22.1.4 a holder attempting to deal with or dispose of any Share or any interest in it otherwise than as permitted or required by these Articles.

22.2 The Lead Investor may, within 12 months from the date of a Transfer Event falling within any of **Articles 22.1.1** to **22.1.4** serve notice on the Company and the relevant holder notifying them that the mandatory transfer provisions of this **Article 22** shall apply ("**Compulsory Transfer Notice**") Upon the date of

service of such notice (as determined in accordance with **Article 32**), the relevant holder and any other holder who has acquired Shares from him under a permitted transfer (directly or by means of a series of permitted transfers) under **Article 19** shall be deemed to have immediately given notice to the Company (a "**Deemed Transfer Notice**") in respect of all the Shares then held by him and which in the case of a transferee of Shares under **Article 19** were the Shares received directly or indirectly from the holder who is the immediate subject of the Transfer Event (the "**Sale Shares**"). A Deemed Transfer Notice shall supersede and cancel any then current Transfer Notice insofar as it relates to the same Shares except for Shares which have already been validly transferred pursuant to that Transfer Notice. The Sale Shares shall be sold together with all rights attaching thereto as at the date of the Compulsory Transfer Notice or in the case of a Deemed Transfer Notice under **Article 19.1.1** at the end of the 15 Business Day period referred to therein.

- 22.3 A Deemed Transfer Notice shall be deemed to have been given on the date of receipt by the Company of the relevant Compulsory Transfer Notice.
- 22.4 For the purpose of **Article 22.1**, the date upon which a relevant holder becomes a Leaver shall be
 - 22.4.1 where a contract of employment or directorship is terminated by the employer by giving notice to the employee of the termination of the employment or directorship, the date of that notice (whether or not a payment is made by the employer in lieu of all or part of the notice period required to be given by the employer in respect of such termination);
 - 22.4.2 where a contract of employment or directorship is terminated by the employee by giving notice to the employer of the termination of the employment or directorship, the date of that notice;
 - 22.4.3 save as provided in **Article 22.4.1** where an employer or employee wrongfully repudiates the contract of employment and the other accepts by written notice that the contract of employment has been terminated, the date of such notice; and
 - 22.4.4 where a contract of employment or directorship is terminated for any reason other than in the circumstances set out in **Articles 22.4.1** to **22.4.3** (inclusive) above, the date on which the action or event giving rise to the termination occurs.
- 22.5 The price at which the Sale Shares shall be transferred pursuant to the Deemed Transfer Notice (the "**Compulsory Sale Price**") shall be:
 - 22.5.1 in the case of a Good Leaver, their Fair Value;

22.5.2 in the case of an Intermediate Leaver, be as set out in the table below.

Period	Fair Value	Lower of Issue Price and Fair Value
on or before the second anniversary of the date of issue of the Sale Shares	0%	100%
Second anniversary of the date of issue to the third anniversary of the date of issue of the Sale Shares	1/3	2/3
Third anniversary of the date of issue of the Sale Shares and onwards	2/3	1/3

22.5.3 in the case of a Bad Leaver, their Fair Value or, if less, their Issue Price; and

22.5.4 in all other cases, their Fair Value.

22.6 No Deemed Transfer Notice once given in accordance with these Articles may be withdrawn unless the Lead Investor approves such withdrawal

22.7 The Company shall be constituted as the agent of the Seller with effect from the date of the Deemed Transfer Notice for the sale of the Sale Shares upon the following terms:

22.7.1 the price for each Sale Share is the Compulsory Sale Price; and

22.7.2 the Sale Shares are to be sold free from all liens, charges and encumbrances together with all rights attaching to them.

22.8 Within five Business Days of the date of the Deemed Transfer Notice, the Shares deemed to be comprised in such Deemed Transfer Notice shall be offered by the Company to the holders (other than the Seller) in accordance with the following order of priorities (the "**Offer Notice**"):

22.8.1 to the extent designated by the Remuneration Committee, any directors, officers and employees of the Group who assumes and discharges the role and duties of the Seller within the Group,

- 22.8.2 to the extent such Shares are not acquired or to be acquired by persons specified in **Article 22.8.1** to all persons in the category set out in the corresponding line in column (2) in the table below,
- 22.8.3 to the extent not accepted by persons in column (2), to all persons in the category set out in the corresponding line in column (3) in the table below, and
- 22.8.4 to the extent not accepted by persons in column (3), to all persons in the category set out in the corresponding line in column (4) in the table below:

(1) Class of Sale Shares	(2) First Offer to	(3) Second Offer to	(4) Third Offer to
A1 Ordinary Shares	Holders of A1 Ordinary Shares	Holders of A2 Ordinary Shares	Holders of B Ordinary Shares
A2 Ordinary Shares	Holders of A2 Ordinary Shares	Holders of A1 Ordinary Shares	Holders of B Ordinary Shares
B Ordinary Shares	Warehouse	Holders of B Ordinary Shares	Holders of A Ordinary Shares
C Ordinary Shares	Warehouse	Holders of C Ordinary Shares	Holders of B Ordinary Shares

Any B Ordinary Shares acquired by the holders of A Ordinary Shares shall automatically be re-designated as A1 Ordinary Shares in the case of the A1 Investors and A2 Ordinary Shares in the case of the A2 Investors.

- 22.9 Subject always to the order of priorities set out in **Article 22.8**, the Sale Shares shall.
- 22.9.1 in respect of any offer of Sale Shares to the Warehouse, be treated as offered in such numbers and proportions as the Remuneration Committee shall direct; and

- 22.9.2 in all other cases, be treated as offered on terms that, in the event of competition, the Sale Shares offered shall be sold to a holder accepting the offer in the same proportion (as nearly as may be) to the proportion which Shares held by such holder bear to the total number of Shares held by all such holders accepting such offer (the "**Proportionate Entitlement**").
- 22.10 Each holder may state in writing within 20 Business Days from the date of an Offer Notice (which date shall be specified therein) whether he is willing to purchase:
- 22.10.1 some or all of his Proportionate Entitlement; and
- 22.10.2 the number of Sale Shares in excess of his Proportionate Entitlement ("**Excess Sale Shares**") he is willing to purchase (if any).
- 22.11 Any acceptance of Sale Shares comprised in an Offer Notice by the Company (as the Warehouse) is conditional upon the Company having satisfied on or before the date of completion:
- 22.11.1 the requirements of the Statutes to purchase the Sale Shares in question; and
- 22.11.2 any requirement for consent under **Article 16**.
- 22.12 If any Sale Shares accepted by the Company cannot be bought back at completion by the Company because it is unable to comply with **Articles 22.11.1** and/or **22.11.2**, then this **Article 22** shall take effect as if no acceptance was given by the Company.
- 22.13 Within three Business Days of the expiry of the Offer Notice period set out in **Article 22.10** (or sooner if all holders have responded to the invitation and all the Sale Shares shall have been accepted in the manner provided in **Article 22.10**), the Board shall allocate the Sale Shares in the order of priorities set out in **Article 22.8** and subject thereto in the following manner:
- 22.13.1 if the total number of Sale Shares applied for is equal to or less than the available number of Sale Shares the Company shall allocate the number applied for in accordance with the applications; or
- 22.13.2 if the total number of Sale Shares applied for is more than the available number of Sale Shares:
- 22.13.2.1 each holder shall be allocated his Proportionate Entitlement (or such lesser number of Sale Shares for which he may have applied) in the order of priorities set out in **Articles 22.8.1, 22.8.2, 22.8.3** and **22.8.4**, and

22.13.2.2 applications for Excess Sale Shares shall be allocated in accordance with such applications or, in the event of competition, (as nearly as may be) to each holder applying for Excess Shares in the proportion which Shares held by such holder bears to the total number of Shares held by all such holders applying for Excess Sale Shares provided that such holder shall not be allocated more Excess Sale Shares than he shall have stated himself willing to take,

and in either case the Company shall forthwith give notice of each such allocation (an "**Allocation Notice**") to the Seller and each of the persons to whom Sale Shares have been allocated (a "**Member Applicant**") and shall specify in the Allocation Notice the place and time (being not later than 10 Business Days after the date of the Allocation Notice) at which the sale of the Sale Shares shall be completed.

22.14 Upon such allocations being made as set out in **Articles 22.8 to 22.13** (inclusive):

22.14.1 the Seller shall be bound, on payment of the Compulsory Sale Price, to transfer the Sale Shares comprised in the Allocation Notice to the Member Applicants named therein at the time and place therein specified free from any lien, charge or encumbrance;

22.14.2 if the Seller makes default in so doing, the Company or some other person duly nominated by a resolution of the Board for that purpose, shall forthwith be deemed to be the duly appointed agent or attorney on behalf of the Seller with full power to give, execute, complete and deliver in the name and on behalf of the Seller.

22.14.2.1 a transfer of the relevant Sale Shares to the Member Applicant; and

22.14.2.2 all such consents, written resolutions and proxies as the appointed agent or attorney shall consider to be necessary or desirable for the purposes of any general meeting of the Company relating to or associated with or required to enable the sale of the Sale Shares to proceed;

22.14.3 the Company may receive and give a good discharge for the purchase money on behalf of the Seller and (subject to the transfer being duly stamped) enter the name of the Member Applicant in the register of members as the holder or holders by transfer of the Sale Shares so purchased by him or them, and

- 22.14.4 the Company shall forthwith pay the purchase money into a separate bank account in the Company's name and shall hold such money on trust (but without interest) for the Seller until he shall deliver up his certificate or certificates for the relevant Shares (or an indemnity, in a form reasonably satisfactory to the Board, in respect of any lost certificate) to the Company when he shall thereupon be paid the purchase money
- 22.15 In the event of all the Sale Shares not being sold under the preceding paragraphs of this **Article 22**, the Seller may not sell or transfer any remaining Sale Shares otherwise than in accordance with the provisions of **Articles 19, 19.2.1 or 21** and pending any such sale or transfer the provisions of **Article 13.3.5** shall continue to apply.
- 22.16 The provisions of **Articles 22.1 to 22.5** (inclusive) shall only apply to NK where he is a Leaver and he is in material breach of the non-compete undertakings at paragraphs 1.1.2 to 1.1.8 of Schedule 8 of the Investment Agreement.
- 22.17 In the event that following the Adoption Date any shareholder has acquired any Shares pursuant to an Emergency Fund Raising or pursuant to **Article 17** then notwithstanding the foregoing provisions of this **Article 22**, the price at which any such Shares shall be transferred pursuant to a Deemed Transfer Notice shall be their Fair Value. For the avoidance of doubt the provisions of this **Article 22.17** shall not apply to the allotment of the Unallocated Shares.
- 22.18 **Article 22** shall not apply to Shares which are subject to a call option agreement approved in advance by way of Investor Consent and entered into between the Company and a shareholder.

23. **VALUATION OF SHARES**

- 23.1 In the event that the Auditors are required to determine the price at which Shares are to be transferred pursuant to these Articles, the Company shall engage and instruct the Auditors (which instructions shall be made as soon as practicable following the time it becomes apparent that a valuation pursuant to this **Article 23** is required), to give their written opinion as to the price which represents a fair value for such Shares on the following basis:
- 23.1.1 as between a willing seller and a willing buyer as at the date the Transfer Notice is given or, in the case of a Deemed Transfer Notice, on the date of the relevant Transfer Event
- 23.2 In making such determination, the Auditors shall not take any account of whether the relevant Shares comprise a majority or a minority interest in the Company nor the fact that transferability of such Shares is restricted by these

Articles and shall assume that all Shares in the Company are being sold at the same time

23.3 In the event that the Auditors decline to accept an instruction to provide a valuation pursuant to this **Article 23**, then the price will be determined by a firm of independent chartered accountants, such accountants to be instructed by the Company with Investor Consent

23.4 **Articles 31.1** and **31.2** shall apply to any determination under this Article by the Auditors or such accountants appointed pursuant to **Article 23.3** and references to Auditors in those **Articles 31.1** and **31.2** shall include such accountants.

24. **COMPLIANCE**

24.1 For the purpose of ensuring (i) that a transfer of Shares is duly authorised under these Articles or (ii) that no circumstances have arisen whereby a Transfer Notice or a Deemed Transfer Notice is required to be or ought to have been given under these Articles or (iii) whether an offer is required to be or ought to have been made under **Article 21.1**, the Board may from time to time require any shareholder or past shareholder or the personal representatives, trustee in bankruptcy, receiver, administrative receiver, liquidator, administrator or similar officer of any shareholder or any person named as transferee in any transfer lodged for registration or such other person as the Board may reasonably believe to have information relevant to such purpose, to furnish to the Company such information and evidence as the Board may reasonably think fit regarding any matter which they deem relevant to such purpose; including (but not limited to) the names, addresses and interests of all persons respectively having interests in the Shares from time to time registered in the holder's name

24.2 Failing such information or evidence being furnished to enable the Board to determine to its reasonable satisfaction that no such Transfer Notice or Deemed Transfer Notice is required to be or ought to have been given, or that no offer is required to be or ought to have been made under **Article 21.1**, or that as a result of such information and evidence the Board is reasonably satisfied that such Transfer Notice or Deemed Transfer Notice is required to be or ought to have been given, or that an offer is required to be or ought to have been made under **Article 21**:

24.2.1 where the purpose of the enquiry by the Board was to establish whether a Transfer Notice or a Deemed Transfer Notice is required to be or ought to have been given, then a Transfer Notice or a Deemed Transfer Notice shall be deemed to have been given by the holder of the relevant Shares in respect of such Shares; or

24.2.2 where the purpose of the enquiry by the Board was to establish whether an offer is required to be or ought to have been made under **Article 21.1**, then the Shares held by or on behalf of the person or persons connected with each other or acting in concert with each other (who has or have (as the case may be) obtained a Controlling Interest as is referred to in **Article 21.1**), shall cease to entitle the holders thereof (or any proxy) :

24.2.2.1 to receive notice of any meeting; or

24.2.2.2 to any voting rights (whether on a show of hands or on a poll and whether exercisable at a general meeting of the Company or at a separate meeting of the class in question) otherwise attaching to such Shares; or

24.2.2.3 to any further Shares issued in right of such Shares or in pursuance of an offer made to the relevant holders,

24.2.2.4 to the extent that such person or persons shall only be able to control the percentage of the voting rights, attaching to Shares, which they controlled prior to their obligation arising to procure the making of such offer.

25 **PURCHASE OF OWN SHARES**

The Company is authorised to purchase its own shares with cash in accordance with section 692 of the 2006 Act.

26 **TRANSMITTEES BOUND BY PRIOR NOTICES**

Model Article 29 shall be amended by the insertion of the words “, or the name of any person nominated under Model Article 27(2)”, after the words “the transmittee’s name”.

GENERAL MEETINGS

27. **NOTICE OF GENERAL MEETINGS**

27.1 Every notice convening a general meeting shall:

27.1.1 comply with section 325(1) of the 2006 Act as to giving information to shareholders relating to their right to appoint proxies; and

27.1.2 be given in accordance with section 308 of the 2006 Act, that is in hard copy form, electronic form or by means of a website.

- 27.2 A notice convening a general meeting (other than an adjourned meeting) must be called by at least 14 days notice but a general meeting can be called by shorter notice if it is so agreed by a majority in number of the members having a right to attend and vote at the meeting being a majority who together hold not less than 90 per cent. by nominal value of the Shares giving that right. The notice must state the time, date and place of the meeting and the general nature of the business to be dealt with at the meeting.

28. PROCEEDINGS AT GENERAL MEETINGS

- 28.1 No resolution shall be voted on and no other business shall be transacted at any general meeting of the Company unless a quorum is present when such vote is taken or other business is transacted and no resolution or transaction shall be effective unless a quorum is so present. Two persons, being holders (at least one of whom must be a holder of A Ordinary Shares) present in person, by proxy or by duly authorised representative (if a corporation), shall be the quorum at any general meeting.
- 28.2 If a quorum is not present within half an hour from the time appointed for a general meeting or if, during any general meeting, a quorum ceases to be present, the general meeting shall stand adjourned to the same day in the next week at the same time and place or to such other day and at such other place as the directors (with Investor Consent) may determine; and if at the adjourned general meeting a quorum is not present within half an hour from the time appointed for the same the shareholders present shall form a quorum. Model Article 41(1) to (5) inclusive shall not apply to the Company.

29. WRITTEN RESOLUTIONS

- 29.1 The provisions of **Article 13.3.7** shall apply in respect of the passing of written resolutions.
- 29.2 A written resolution, proposed in accordance with section 288(3) of the 2006 Act, will lapse if it is not passed before the end of the period of 28 days beginning with the circulation date.
- 29.3 For the purposes of this **Article 29** "circulation date" is the date on which copies of the written resolution are sent or submitted to members or, if copies are sent or submitted on different days, to the first of those days.

ADMINISTRATIVE ARRANGEMENTS

30. BORROWING POWERS

Subject to the terms of the Investment Agreement and the Facility Documents, the Board may exercise all the powers of the Company to borrow money up to

the amounts specified in the Facility Documents and the Loan Note Instruments and to mortgage or charge its undertaking, property and uncalled capital, or any part thereof, and, subject to the provisions of the 2006 Act, to issue debentures, debenture stock, and other securities whether outright or as security for any debt, liability or obligation of the Company or of any third party.

31 **AUDITORS**

Auditors' determination

31.1 If any matter under these Articles is referred to the Auditors for determination then the Auditors shall act as experts and not as arbitrators or arbiters and their decision shall be final and binding on the Company and all the holders (in the absence of fraud or manifest error).

31.2 The Auditors' costs in making any such determination referred to in **Article 31.1** shall be borne by the Company unless the Auditors shall otherwise determine.

31.3 The Auditors where required by these Articles shall determine the valuation of Shares in accordance with **Article 23**

32. **COMPANY COMMUNICATION PROVISIONS**

32.1 Where:

32.1.1 a document or information is sent by post (whether in hard copy or electronic form) to an address in the United Kingdom, and

32.1.2 the Company is able to show that it was properly addressed, prepaid and posted,

it is deemed to have been received by the intended recipient 48 hours after it was posted.

32.2 Where

32.2.1 a document or information is sent or supplied by electronic means; and

32.2.2 the Company is able to show that it was properly addressed,

it is deemed to have been received by the intended recipient immediately after it was sent.

32.3 Where a document or information is sent or supplied by means of a website, it is deemed to have been received by the intended recipient:

32.3.1 when the material was first made available on the website; or

- 32.3.2 if later, when the recipient received (or is deemed to have received) notice of the fact that the material was available on the website.
- 32.4 Pursuant to section 1147(6) of the 2006 Act, subsections (2) (3) and (4) of that section shall be deemed modified by **Articles 32.1, 32.2 and 32.3.**
- 32.5 Subject to any requirements of the 2006 Act only such, documents and notices as are specified by the Company may be sent to the Company in electronic form to the address specified by the Company for that purpose and such documents or notices sent to the Company are sufficiently authenticated if the identity of the sender is confirmed in the way the Company has specified
- 33. INDEMNITIES FOR DIRECTORS**
- 33.1 Subject to, and so far as may be permitted by, the 2006 Act and without prejudice to any indemnity to which the person concerned may be otherwise entitled, the Company may indemnify every director, former director, alternate director, secretary or other officer of the Company or of any associated company (as defined in section 256 of the 2006 Act against any liabilities incurred by him in the execution and discharge of his duties or the exercise of his powers or otherwise in relation to or in connection with his duties, powers or office, including any liability which may attach to him in respect of any negligence, default, breach of duty or breach of trust in relation to anything done or omitted to be done or alleged to have been done or omitted to be done by him as a director, former director, alternate director, or other officer of the Company or of any associated company.
- 33.2 Subject to the 2006 Act, the directors may purchase and maintain at the cost of the Company insurance cover for or for the benefit of every director, former director, alternate director, Auditor, or other officer of the Company or of any associated company (as defined in section 256 of the 2006 Act) against any liability which may attach to him in respect of any negligence, default, breach of duty or breach of trust by him in relation to the Company (or such associated company), including anything done or omitted to be done or alleged to have been done or omitted to be done by him as a director, former director, alternate director, Auditor, or other officer of the Company or of any associated company.
- 33.3 Subject to, and so far as may be permitted by, the 2006 Act, the Company shall be entitled to fund the expenditure of every director, alternate director or other officer of the Company incurred or to be incurred:
- 33.3.1 in defending any criminal or civil proceedings; or
- 33.3.2 in connection with any application under sections 661(3) or 661(4) or under section 1157 of the 2006 Act.

34. **WATERFALL**

34.1 On an Exit which occurs on or before the sixth anniversary of the Adoption Date, the Exit Capitalisation shall be paid to the holders of Equity Shares in the following order of priority.

34.1.1 first, in paying to each of the holders of C Ordinary Shares an amount equal to the Issue Price paid for such Shares;

34.1.2 second, the balance of the Exit Capitalisation shall be distributed so that: (i) an amount equal to 50 75% of the proceeds shall be paid to the holders of the A Ordinary Shares pro rata to the number of A Ordinary Shares outstanding; and (ii) the balance paid to the holders of the B Ordinary Shares (who are not Investors) pro rata to the number of B Ordinary Shares outstanding, until such time as the holders of A Ordinary Shares have received an amount equal to the Second Slice Return; and

34.1.3 thereafter, the balance of the Exit Capitalisation shall be distributed so that: (i) an amount to equal to 30% of the proceeds shall be paid to the holders of the A Ordinary Shares pro rata to the number of A Ordinary Shares outstanding, and (ii) the balance is paid to the holders of the B Ordinary Shares (who are not Investors) pro rata to the number of B Ordinary Shares outstanding

34.2 The Board and the members of the Company shall put in place such arrangements as are necessary to give effect to the provisions of **Article 34** including should the Board (with the consent of the Lead Investor) deem it necessary to convert Equity Shares of any particular class into Deferred Shares provided always that where there is more than one holder of Equity Shares of a class to be so converted then such conversion of that class shall take place pro rata as nearly as may be to each such holders holding of shares of that class.

34.3 For the avoidance of doubt, the Relevant Cash Inflows and the Relevant Cash Outflows shall not include any amounts advanced by the A2 Investors pursuant to the Facility Agreement or any amounts paid to any A2 Investors pursuant to the Facility Agreement.

35. **Capitalisation of profits**

35.1 Article 36 of the Model Articles shall be deleted and replaced by:

"**36.**—(1) Subject to the articles, the directors may, if they are so authorised by an ordinary resolution—

(a) decide to capitalise any profits of the company (whether or not they are available for distribution) which are not required for paying a preferential dividend, or any sum standing to the credit of the company's share premium account or capital redemption reserve, and

(b) appropriate the sum resolved to be capitalised (a "capitalised sum") to the members, the holders of any class of shares or any other person or persons and apply such sum on their behalf in paying up in full unissued shares or debentures of the company of a nominal amount equal to that sum, and allot the shares or debentures credited as fully paid to those members, holders or persons: but the share premium account, the capital redemption reserve, and any profits which are not available for distribution may, for the purposes of this regulation, only be applied in paying up unissued shares to be allotted to members credited as fully paid.

(2) Subject to the articles the directors may—

(a) apply capitalised sums in accordance with paragraph (1)(b) above partly by way of paying up in full unissued shares and partly by way of debenture;

(b) make such arrangements as they think fit to deal with shares or debentures becoming distributable in fractions under this article (including the issuing of fractional certificates or the making of cash payments); and

(c) authorise any person to enter into an agreement with the company on behalf of all the persons entitled which is binding on them in respect of the allotment of shares and debentures to them under this article."